



**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

)

Interconnection of Large Loads to the Interstate) Docket No. RM26-4-000
Transmission System)

REPLY COMMENTS OF THE CENTER FOR BIOLOGICAL DIVERSITY

<u>TABLE OF CONTENTS</u>	
INTRODUCTION	p. 2
DISCUSSION.....	p. 4
I. Threshold Issues The Commission Should Consider In Addressing The Matters Raised In This Proceeding.....	p. 4
A. The Commission Should Consider The Environmental Implications Of Any Agency Rule That Encourages The Growth Of Data Centers And Other Large Load Facilities.....	p. 4
1. Data Centers And Cryptomining Threaten The Climate.....	p. 4
a. Data Centers, AI, and Crypto-Facilities Demand Seismic-Levels of Energy.....	p. 5
b. Data Centers, AI, and Crypto-Facilities Reliance on Climate-Killing Fossil Fuels is Driving Growth in the Fossil Fuel Power Sector.....	p. 6
c. Energy Demand from Data Centers, AI, and Crypto Is Projected to Grow Exponentially.....	p. 7
2. These Facilities Also Have Numerous Other Adverse Environmental Impacts.....	p. 9
B. The Commission Should Maximize Opportunities For These Facilities To Facilitate Renewable Energy Alternatives.....	p. 15
1. These Facilities Can Help Address Load Demand Issues Through Demand Response and Load Flexibility Programs.....	p. 15
2. FERC Should Encourage Renewable Energy to Power These Facilities.....	p. 17

3. FERC Should Encourage Disclosure of Water and Energy Use and Emissions by Data Centers.....	p. 20
II. Center Comments On Other Specific Issues Raised in the ANOPR, Commission Notice, and Initial Comments.....	p. 22
A. Any Regulation Must Protect Ratepayers by Preventing Private Corporations from Shifting Facility or Stranded-Asset Costs to Ratepayers.....	p. 22
1. There Should Also Be Restrictions On Special Contracts Allowing Utilities to Take Advantage of Opaque Accounting Practices to Pass on the Costs of Supplying Power to High-energy Using Customers.....	p. 25
2. Appropriate Oversight Of Cost Allocation Formulas Is Necessary To Protect Against Ratepayers Being Improperly Charged For Infrastructure Costs to Support These Facilities.....	p. 26
3. The Commission Must Also Help Insure That Co-location Arrangements Do Not Increase Wholesale Prices And Distort Electricity Delivery Rates.....	p. 27
B. Regulatory Reforms Should Apply to Loads Starting at 20 MW (or Lower) to Reflect Variability in Data Center and Cryptomining Demand.....	p. 28
C. The Commission Should Engage in Tribal Consultation Before Fast-Tracking Large-Load Interconnection.....	p. 30
D. The Rulemaking Process Should Be Deliberate, Not Rushed.....	p. 31
ADDENDUM.....	p. 32

INTRODUCTION

Pursuant to the Federal Energy Regulatory Commission’s (“Commission”) October 27, 2025 Notice Inviting Comments on the Secretary of Energy’s advance notice of proposed rulemaking (“ANOPR”)—issued under section 403 of the Department of Energy Reorganization Act on October 23, 2025—the Intervenor Center for Biological Diversity (“Center”) respectfully submits the following Reply Comments.¹ The Center is a national, non-profit conservation

¹ See Oct. 27, 2025 Notice Inviting Comments, RM26-4; Nov. 7, 2025 Notice Granting Extension of Time, RM 26-4 (setting Dec. 5, 2025 Reply deadline).

organization with more than 1.8 million members and online activists committed to accelerating the renewable energy transition and protecting human health, the natural environment, and imperiled species from the worsening climate emergency, the extinction crisis, and environmental degradation.

As discussed below, and as reflected in Opening Comments, the Commission's consideration of the rapidly expanding energy needs of data centers must address both the challenges and opportunities associated with these facilities. With respect to challenges, the Commission must—consistent with its statutory obligations and as further detailed in the Addendum—fully account for the environmental implications of data-center growth, including risks to climate mitigation efforts and other significant environmental impacts, and require maximum transparency. With respect to opportunities, the Commission should examine how these facilities can contribute to grid reliability and efficiency through demand response, load flexibility, and maximized reliance on renewable energy resources.

As regards more specific issues raised in the ANOPR, the Commission's Notice, and Initial Comments, we have several comments. First, below we outline measures the Commission should adopt when evaluating any policy for expedited interconnection of large loads, to ensure that consumers are not required to subsidize data centers or related transmission and infrastructure costs that should appropriately be borne by the private corporations that benefit from such investments—and to prevent the creation of stranded assets. Second, we urge the Commission to ensure that these regulations capture the broad range of data centers by defining such facilities as those with a load starting at 20 MW, or a lower threshold, and extending to all higher loads, so that the variability across these operations is appropriately addressed. Third, we emphasize the need for a robust consultative process that meaningfully incorporates

community—especially Tribal—voices, consistent with statutory mandates and research showing that early and substantive community engagement leads to better project outcomes. Finally, we underscore the importance of deliberation in this rulemaking process. The accelerated timeline requested by DOE should not drive the Commission’s decision-making; it is essential that this process remain thorough, transparent, and unhurried.

In sum, the Commission must ensure that the interconnection of the substantial loads associated with these facilities is managed in a way that is fair to consumers, fully consistent with the Commission’s statutory mandates, and attentive to the climate and environmental impacts of this rapidly expanding industry.

DISCUSSION

I. Threshold Issues The Commission Should Consider In Addressing The Matters Raised In This Proceeding.

A. The Commission Should Consider The Environmental Implications Of Any Agency Rule That Encourages The Growth Of Data Centers And Other Large Load Facilities.

As reflected in the comments already in the record, the growth of data centers for Artificial Intelligence (“AI”) and other purposes, as well as of cryptomining facilities, are key drivers of the DOE’s effort to expedite the interconnection of large loads to the country’s transmission system. Before turning to the specific issues raised in the ANOPR, Commission’s Notice, and the Initial Comments, it is vital to address the risks data centers and cryptomining facilities pose to the climate and the environment.²

1. Data Centers And Cryptomining Threaten The Climate.

² Our Addendum to these comments below details the climate emergency and urgent need to curb fossil-fuel energy generation to mitigate its worst impacts, as well as the Commission’s statutory responsibility to take these matters into account in its decision-making.

Data centers, AI, and cryptomining facilities demand enormous amounts of energy. The load growth these facilities are projected to bring is driving *more* fossil fuel generation, taking the nation in the completely wrong direction to address the climate emergency. The Commission has an obligation to take this strong connection between these facilities and fossil fuels into consideration as it considers appropriate regulatory structures.

a. Data Centers, AI, and Crypto-Facilities Demand Seismic-Level of Energy.

As discussed in Opening Comments, data centers are highly energy- and water-intensive. These facilities host vast computing infrastructure—including server racks, networking equipment, backup power systems, physical security features, and advanced cooling technologies—to process massive amounts of data and support services like artificial intelligence, cryptocurrency mining, photo sharing, and video streaming.

Cloud Service Providers, largely owned and operated by major technology corporations, currently control approximately 67 percent of global cloud infrastructure.³ This dominance, coupled with Big Tech’s strategic prioritization of the AI and cryptocurrency sectors, is fueling a rapid proliferation of conventional and AI-specific data centers, as well as cryptocurrency mining operations, across the United States.

As of March 2025, the U.S. housed 5,426 recorded data centers.⁴ In 2023, these facilities consumed 176 terawatt-hours (TWh) of electricity, or 4.4 percent of the country's total electricity use—more than the total energy consumption of Ohio in 2022.⁵ The energy demands of AI

³ Slingerland, C., *13 Top Cloud Service Providers Globally In 2025*, (July 18, 2024), <https://www.cloudzero.com/blog/cloud-service-providers/>.

⁴ Petroc, Taylor, *Leading countries by number of data centers as of March 2025*, Statista, (Mar. 21, 2025), <https://www.statista.com/statistics/1228433/data-centers-worldwide-by-country/>.

⁵ Shehabi, A., Smith, S.J., Hubbard, A., Newkirk, A., Lei, N., Siddik, M.A.B., Holecek, B., Koomey, J., Masanet, E., Sartor, D. 2024. 2024 United States Data Center Energy Usage Report. Lawrence Berkeley National Laboratory,

applications exacerbate this impact; while a conventional data center rack uses an average of 7 kilowatts (kW), AI data center racks can require up to 50 kW.⁶ In 2023, AI workloads represented about 20 percent of total data center capacity, and projections indicate a tenfold increase in AI-related electricity consumption by 2026.⁷

Cryptomining, which employs energy-intensive computational systems in facilities like data centers to solve complex algorithms and extract digital assets, represents perhaps the most egregious strain on America's energy infrastructure. Even though less than 2 percent of U.S. residents are using cryptocurrency for transactions, cryptomining can be even more energy-intensive than AI data centers. As of December 2024, Bitcoin alone was estimated to consume 175.87 TWh annually—surpassing the total energy use of Pakistan in 2023.⁸

b. Data Centers, AI, and Crypto-Facilities Reliance on Climate-Killing Fossil Fuels is Driving Growth in the Fossil Fuel Power Sector.

Today, data centers, artificial intelligence facilities, and cryptocurrency operations rely heavily on fossil-fuel-generated electricity, resulting in significant emissions of carbon dioxide and other greenhouse gases. For example, between September 2023 and August 2024, nearly

Berkeley, California. LBNL-2001637; *Electricity consumption in the United States 2022, by leading state*, Statista (June 28, 2024), <https://www.statista.com/statistics/560913/us-retail-electricity-consumption-by-major-state/>.

⁶ Loten, A., AI-Ready Data Centers Are Poised for Fast Growth, Wall street Journal, (Aug. 3, 2023), <https://www.wsj.com/articles/ai-ready-data-centers-are-poised-for-fast-growth-fadae952>.

⁷ Ramachandran, K., et al, As generative AI asks for more power, data centers seek more reliable, cleaner energy solutions, Deloitte (Nov. 19, 2024), <https://www2.deloitte.com/us/en/insights/industry/technology/technology-media-and-telecom-predictions/2025/genai-power-consumption-creates-need-for-more-sustainable-data-centers.html>.

⁸ De Best, R., Bitcoin energy consumption worldwide from February 2017 to February 3, 2025, Statista, (Feb. 6, 2025), <https://www.statista.com/statistics/881472/worldwide-bitcoin-energy-consumption/>.

60% of the electricity consumed by U.S. data centers came from fossil fuels, leading to an estimated 105 million metric tons of carbon emissions during that same period.⁹

The immense fossil-fueled electricity demand from data centers, AI, and cryptocurrency mining not only accelerates climate change but also drives the continued operation and revival of gas and coal power plants, posing serious environmental risks. For instance, this year, Southern Company, a major U.S. utility, announced that it would be extending the operational lifespan of three coal plants in Georgia and Mississippi to address the growing energy demands of data centers.¹⁰ This decision permits the continued operation of a combined 8.2 gigawatts (GW) of fossil fuel-based, environmentally harmful energy capacity.¹¹

Similarly, in February, NRG Energy Inc., GE Vernova, Inc., and The Industrial Company announced their collaboration to build four new natural gas power plants, totaling more than 5 gigawatts (GW), to provide energy to data centers supporting AI and GenAI operations in the ERCOT and PJM markets.¹²

c. Energy Demand from Data Centers, AI, and Crypto Is Projected to Grow Exponentially.

The footprint and energy use of these industries is expected to grow greatly in the coming years and decades, posing significant risks to the stability of the electric grid and potentially undermining national efforts to reduce greenhouse gas emissions.

⁹ Guidi, Gianluca & Dominici, Francesca & Gilmour, Jonathan & Butler, Kevin & Bell, Eric & Delaney, Scott & Bargagli Stoffi, Falco. (2024). *Environmental Burden of United States Data Centers in the Artificial Intelligence Era*. 10.48550/arXiv.2411.09786.

¹⁰ Skidmore, Z., *Southern Company to extend life of three coal plants due to data center energy demand*, Data Center Dynamics, (Feb. 22, 2025), <https://www.datacenterdynamics.com/en/news/southern-company-to-extend-life-of-three-coal-plants-due-to-data-center-energy-demand/>.

¹¹ *Id.*

¹² *Press Release: NRG Energy, GE Vernova and Kiewit Accelerating New Generation Capacity to Support Demand Growth*, Business Wire, (Feb. 26, 2025), <https://www.businesswire.com/news/home/20250225753165/en/NRG-Energy-GE-Vernova-and-Kiewit-Accelerating-New-Generation-Capacity-to-Support-Demand-Growth>.

Current trend analysis shows that global demand for data center capacity could grow by 19 to 27 percent annually through 2030, reaching as much as 171 to 298 gigawatts (GW) per year by the end of the decade.¹³ This is a sharp increase from today’s estimated demand of 60 GW and signals the risk of a major supply shortfall.¹⁴ Avoiding this gap will require building at least twice the total data center capacity constructed since 2000, but in less than a quarter of the time.¹⁵

The demand for AI-compatible data center capacity alone is anticipated to grow at an average annual rate of approximately 33 percent through 2030.¹⁶ By the end of the decade, it is projected that roughly 70 percent of the *total* demand for data center capacity will be directed toward facilities specifically designed to accommodate advanced AI workloads.¹⁷ Generative AI—currently the most rapidly expanding application of advanced AI—is expected to represent approximately 40 percent of the total demand.¹⁸

Projections indicate that the cryptocurrency industry’s energy consumption in the United States is on track to grow at an alarming rate over the next few years. By 2030, data centers, including those supporting cryptocurrency mining, could account for up to 9 percent of the

¹³ Srivathsan, B., et al., *AI power: Expanding data center capacity to meet growing demand*, McKinsey & Co., (Oct. 29, 2024), https://www.mckinsey.com/industries/technology-media-and-telecommunications/our-insights/ai-power-expanding-data-center-capacity-to-meet-growing-demand#.

¹⁴ *Id.*

¹⁵ *Id.*

¹⁶ *Id.*

¹⁷ *Id.*

¹⁸ *Id.*

nation's total electricity use.¹⁹ In Texas alone, electricity demand is expected to nearly double, with 60 percent of that growth attributed to cryptomining and data center expansion.²⁰ Further, analysts project that by the end of 2027, approximately 20 percent of the power capacity currently dedicated to Bitcoin mining will be repurposed for AI applications.²¹ This shift reflects the evolving dynamics of the data center landscape, driven by technological advancements and market demands, while also highlighting the long-term, enduring nature of these investments.

The rapid expansion of digital infrastructure—propelled by corporate interests rather than public need—is emerging as a major and accelerating driver of climate disruption. Energy-intensive data centers are straining power grids, increasing fossil fuel demand, and undermining global climate goals. Without urgent regulatory and policy action, this unchecked growth threatens to lock in high-emissions systems for decades to come.

2. These Facilities Also Have Numerous Other Adverse Environmental Impacts.

Beyond greenhouse gas emissions, data centers frequently cause numerous adverse environmental impacts, including impaired air quality, increased noise, high water demand, and harm to special status species and their habitats. First, data centers degrade air quality in surrounding communities, largely due to the use of backup diesel generators. Since 2017, more than 1 gigawatt of diesel-based energy—enough to power at least 161,969 households for a

¹⁹ Kearney, L., and Roy, M., *AI's race for US energy butts up against bitcoin mining*, Reuters, (August 24, 2024), https://www.reuters.com/technology/artificial-intelligence/ais-race-us-energy-butts-up-against-bitcoin-mining-2024-08-28/?utm_source=chatgpt.com.

²⁰ Hao, C., Texas lawmakers turn on cryptocurrency industry after learning of high power demand projections, Houston Chronicle, (June 14, 2024), <https://www.houstonchronicle.com/business/energy/article/texas-lawmakers-sour-bitcoin-mining-fearing-19508969.php>.

²¹ Kearney, L., and Roy, M., *AI's race for US energy butts up against bitcoin mining*, Reuters, (August 24, 2024), https://www.reuters.com/technology/artificial-intelligence/ais-race-us-energy-butts-up-against-bitcoin-mining-2024-08-28/?utm_source=chatgpt.com.

year—has been approved as emergency power for California data centers alone.²² These generators not only add to greenhouse gas impacts, but they harm public health by emitting nitrogen oxide and particulate matter. Researchers at UC Riverside and Caltech found that an increase in permits for diesel generators at data centers in Virginia since 2023 may have resulted in 14,000 asthma symptom cases and caused as much as \$300 million in health care costs.²³ By 2030, researchers predict the health burdens of data centers could amount to \$20 billion.²⁴ The Secretary of Energy’s recent call for these generators to be used *all the time* rather than simply as back-up power threatens to exponentially increase these harms.²⁵

Second, data centers adversely impact the environment through their massive water demand. A mid-sized data center consumes on average around 300,000 gallons of water a day, about as much as 1,000 U.S. households,²⁶ while a large data center uses 1-5 million gallons per day.²⁷ This is because data centers produce a considerable amount of heat, requiring air conditioning to cool the servers or water for evaporative cooling.²⁸ Indeed, data centers rank

²² Capital & Main, *California needs more data centers—but builders are using a legal loophole to power them with diesel*, Fast Company (Jan. 23, 2025), <https://www.fastcompany.com/91265352/california-needs-more-data-centers-but-builders-are-using-a-legal-loophole-to-power-them-with-diesel>.

²³ *Id.*

²⁴ *Id.*

²⁵ Brian Dabs, *Wright Floats Backup Generation As Grid Fix*, E&E News, Dec. 3, 2025, <https://subscriber.politicopro.com/article/eenews/2025/12/03/wright-floats-backup-generators-as-grid-fix-00673595>.

²⁶ Michael Copley, *Data centers, backbone of the digital economy, face water scarcity and climate risk* (Aug. 30, 2022), <https://www.npr.org/2022/08/30/1119938708/data-centers-backbone-of-the-digital-economy-face-water-scarcity-and-climate-risk>.

²⁷ Shannon Osaka, *A new front in the water wars: Your internet use*, The Washington Post (April 25, 2023), <https://www.washingtonpost.com/climate-environment/2023/04/25/data-centers-drought-water-use/>.

²⁸ *Id.*

among the top 10 water-consuming commercial industries in the United States.²⁹ And with the advent of artificial intelligence, each year they require even more: Google's data centers used 20 percent more water in 2022 than in 2021, while Microsoft's water use rose by 34 percent.³⁰ This high water demand depletes nearby groundwater and disrupts local ecosystems.

Third, data centers adversely impact surrounding communities through constant noise, well documented by residents living near data centers throughout the United States.³¹ Data centers create noise through generators, cooling systems, and energy drawn from the power grid. Beyond simply providing an annoyance, however, noise pollution is the second largest environmental cause of health problems, just after the air pollution.³² Large-scale studies show that noise exposure increases the risk of high blood pressure, type 2 diabetes, coronary heart disease, and heart attacks, as well as strokes, diabetes, dementia, sleep disturbances, memory impairment, and depression.³³ Chronic noise exposure contributes to about 48,000 new cases of

²⁹ M. Siddik, A. Shehabi, & L. Marston, *The environmental footprint of data centers in the United States* (2021), <https://iopscience.iop.org/article/10.1088/1748-9326/abfba1>.

³⁰ David Berreby, *As Use of A.I. Soars, So Does the Energy and Water It Requires*, Yale Environment 360 (Feb. 6, 2024), <https://e360.yale.edu/features/artificial-intelligence-climate-energy-emissions>.

³¹ Bianca Bosker, *Why is everything getting louder*, The Atlantic (Nov. 2019), <https://www.theatlantic.com/magazine/archive/2019/11/the-end-of-silence/598366/>; Peter Cary, *Some cities suffering from data center noise turn to tough limits*, Prince William Times (Feb. 27, 2023), https://www.princewilliamtimes.com/news/some-cities-suffering-from-data-center-noise-turn-to-tough-limits/article_2aa7fb8c-b6aa-11ed-8626-5738aae2f76c.html; Antonio Olivo, *Northern Va. is the heart of the internet. Not everyone is happy about that*, Washington Post (Feb. 10, 2023), <https://www.washingtonpost.com/dc-md-va/2023/02/10/data-centers-northern-virginia-internet/>.

³² Angelina Angelo, *Could Everyday Noise be Affecting your Health?*, UC Davis (March 3, 2023), <https://environmentalhealth.ucdavis.edu/blog/could-everyday-noise-be-affecting-your-health>; Stephanie Dutchen, *Noise and Health*, Harvard Medicine (2022), <https://magazine.hms.harvard.edu/articles/noise-and-health>.

³³ Stephanie Dutchen, *Noise and Health*, Harvard Medicine (2022), <https://magazine.hms.harvard.edu/articles/noise-and-health>; Bianca Bosker, *Why is everything getting louder*, The Atlantic (Nov. 2019), <https://www.theatlantic.com/magazine/archive/2019/11/the-end-of-silence/598366/>; Minh Kim, et al., *Road Traffic Noise*, American Journal of Preventive Medicine (Oct. 2012), [https://www.ajpmonline.org/article/S0749-3797\(12\)00444-8/fulltext](https://www.ajpmonline.org/article/S0749-3797(12)00444-8/fulltext); Taeho Park, et al., *The Public Health Impact of Road-Traffic Noise in a Highly-Populated City, Republic of Korea: Annoyance and Sleep Disturbance*, Sustainability (Aug. 20, 2018), <https://www.mdpi.com/2071-1050/10/8/2947>; W. Passchier-Vermeer, *Noise*

heart disease in Europe each year and disrupts 6.5 million people's sleep.³⁴ For children, noise pollution interferes with behavioral and cognitive development and speech and language development, and it decreases concentration, impairs memory retention, and increases blood pressure.³⁵ For adolescents, it can interfere with mental health.³⁶

And beyond impacting public health, data center noise impacts threaten to harm species through changes in vigilance and foraging behavior, and impacts on individual fitness and the structure of ecological communities.³⁷ In particular, noise can significantly degrade habitat value for migrating songbirds, decreasing feeding behavior and duration.³⁸ One study specifically found a 28% decrease in bird abundance in areas when traffic noise was present compared to when there was no traffic noise.³⁹ And these impacts do not always improve over time: researchers have postulated that some species in areas with chronic noise pollution may become

Exposure and Public Health, Environmental Health Perspectives (March 2000), <https://pmc.ncbi.nlm.nih.gov/articles/PMC1637786/>.

³⁴ Stephanie Dutchen, *Noise and Health*, Harvard Medicine (2022), <https://magazine.hms.harvard.edu/articles/noise-and-health>.

³⁵ Angelina Angelo, *Could Everyday Noise be Affecting your Health?*, UC Davis (March 3, 2023), <https://environmentalhealth.ucdavis.edu/blog/could-everyday-noise-be-affecting-your-health>; Kim Ferguson, et al., *The physical environment and child development: An international review*. Int J Psychol. 2013; 48(4): 437–468 (June 8, 2013), <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC4489931/>; Raess, M. et al., *Association between community noise and children's cognitive and behavioral development: A prospective cohort study*, Environment International (Jan. 2022), <https://www.sciencedirect.com/science/article/pii/S0160412021005869>.

³⁶ Jongseok Lim, et al., *Negative Impact of Noise and Noise Sensitivity on Mental Health in Childhood*, Noise Health (2018), <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC6301087/>.

³⁷ Graeme Shannon, et al., *A synthesis of two decades of research documenting the effects of noise on wildlife*, Biological Reviews, 91(4), 982–1005 (2016), <https://doi.org/10.1111/brev.12207>.

³⁸ Heidi E. Ware, et al., *A phantom road experiment reveals traffic noise is an invisible source of habitat degradation*, Proceedings of the National Academy of Sciences (Aug. 31, 2015), <https://www.pnas.org/doi/10.1073/pnas.1504710112>.

³⁹ Christopher J. W. McClure, et al., *An experimental investigation into the effects of traffic noise on distributions of birds: Avoiding the phantom road*. Proceedings of the Royal Society B: Biological Sciences (2013), <https://royalsocietypublishing.org/doi/10.1098/rspb.2013.2290>.

more sensitive to noise stressors instead of becoming habituated or less sensitive to them.⁴⁰ Thus, ongoing noise could significantly impact special-status and sensitive species and other native wildlife in and around data centers.

Finally, depending on where they are located, data centers can also harm wildlife by contributing to habitat loss and fragmentation. As detailed in a 2021 Center Report,⁴¹ development creates barriers that can affect wildlife behavior, movement patterns, reproductive success, and physiological state, resulting in significant impacts on individual wildlife, populations, communities, landscapes, and ecosystem function.⁴² For example, habitat fragmentation from roads and development has been shown to cause mortalities and harmful genetic isolation in Central Coast and Southern California mountain lions,⁴³ increase local extinction risk in amphibians and reptiles,⁴⁴ cause high levels of avoidance behavior and

⁴⁰ Ian Goudie & Ian Jones, *Dose-response relationships of harlequin duck behaviour to noise from low-level military jet over-flights in central Labrador*, *Environmental Conservation*, 31(4), 289–298 (2004), <https://doi.org/10.1017/S0376892904001651>.

⁴¹ Tiffany Yap, et al., *California Connections: How Wildlife Connectivity Can Fight Extinction and Protect Public Safety* (2021), <https://www.biologicaldiversity.org/campaigns/wildlife-connectivity/pdfs/California-Connections-wildlife-connectivity-report.pdf>.

⁴² Ana Ceia-Hasse, et al., *Population persistence in landscapes fragmented by roads: Disentangling isolation, mortality, and the effect of dispersal*, *Ecological Modelling*, 375, 45–53 (2018); Nic M. Haddad, et al., *Habitat fragmentation and its lasting impact on Earth's ecosystems*, *Science Advances*, 1(e1500052), 1–9 (2015); William J. Mitsch, et al., *Improving the success of wetland creation and restoration with know-how, time, and self-design*, *Ecological Applications*, 6(1), 16–17 (1996); Stephen C. Trombulak, et al., *Review of ecological effects of roads on terrestrial and aquatic communities*, *Conservation Biology*, 14(1), 18–30 (2001); Rodney van der Ree, et al., *Effects of roads and traffic on wildlife populations and landscape function: Road ecology is moving toward larger scales*, *Ecology and Society*, 16(1), 48 (2011).

⁴³ John F. Benson, et al., *Extinction vortex dynamics of top predators isolated by urbanization*, *Ecological Applications*, 29(3), e01868 (2019); Kyle D. Gustafson, et al., *Multi-population puma connectivity could restore genomic diversity to at-risk coastal populations in California*, *Evolutionary Applications* (2021), <https://pmc.ncbi.nlm.nih.gov/articles/PMC8867711/>.

⁴⁴ Samuel Cushman, et al., *Effects of habitat loss and fragmentation on amphibians: A review and prospectus*, *Biological Conservation*, 128, 231–240 (2006); Cheryl S. Brehme, et al., *An objective road risk assessment method for multiple species: Ranking 166 reptiles and amphibians in California*, *Landscape Ecology*, 33, 911–935 (2018).

mortality in birds and insects,⁴⁵ and alter pollinator behavior.⁴⁶ Habitat fragmentation also severely impacts plant communities: an 18-year study found that reconnected landscapes had nearly 14% more plant species compared to fragmented habitats, and that number will likely rise as time passes.⁴⁷ These concerns are arising more and more frequently with regard to the siting of data centers.⁴⁸

Further, edge effects of data center development, such as traffic, light, and noise pollution, in and adjacent to open space threaten to adversely impact both key, wide-ranging predators, for example, mountain lions and bobcats,⁴⁹ as well as smaller species with poor dispersal abilities, such as song birds, small mammals, and reptiles.⁵⁰ Development that limits

⁴⁵ Anita Benítez-López, et al., *The impacts of roads and other infrastructure on mammal and bird populations: A meta-analysis*, Biological Conservation, 143, 1307–1316 (2010); Tuula Kantola, *Spatial risk assessment of eastern monarch butterfly road mortality during autumn migration within the southern corridor*, Biological Conservation, 231, 150–160 (2019); Scott Loss, et al., *Estimation of bird-vehicle collision mortality on U.S. roads*, Journal of Wildlife Management, 78, 763–771 (2014).

⁴⁶ Ramiro Aguilar, et al., *Genetic consequences of habitat fragmentation in plant populations: Susceptible signals in plant traits and methodological approaches*, Molecular Ecology, 17, 5177–5188 (2008); M. Goverde, et al., *Small-scale habitat fragmentation effects on pollinator behaviour: Experimental evidence from the bumblebee *Bombus veteranus* on calcareous grasslands*, Biological Conservation, 104, 293–299 (2002); Stephen C. Trombulak, et al., *Review of ecological effects of roads on terrestrial and aquatic communities*, Conservation Biology, 14(1), 18–30 (2000).

⁴⁷ Ellen I. Damschen, et al., *Ongoing accumulation of plant diversity through habitat connectivity in an 18-year experiment*, Science, 365(6460), 1478–1480 (2019).

⁴⁸ See, e.g., Hannah Denham, *Activists ask federal agency to protect rare fish near Bessemer data center site*, AL.com, Nov. 14, 2025, <https://www.al.com/news/2025/11/activists-ask-federal-agency-to-protect-rare-fish-near-bessemer-data-center-site.html>.

⁴⁹ Rafael Barrientos, et al., *Nearby night lighting, rather than sky glow, is associated with habitat selection by a top predator in human-dominated landscapes*, Philosophical Transactions of the Royal Society B: Biological Sciences, 378(1892), 20220370 (2023); Amy C. Collins, et al., *Behavioral responses to anthropogenic noise at highways vary across temporal scales*, Frontiers in Ecology and Evolution, 10, 891595 (2022).

⁵⁰ Ana Benítez-López, et al., *The impacts of roads and other infrastructure on mammal and bird populations: A meta-analysis*, Biological Conservation, 143, 1307–1316 (2010); Samuel A. Cushman, *Effects of habitat loss and fragmentation on amphibians: A review and prospectus*, Biological Conservation, 128, 231–240 (2006); Kathleen S. Delaney, et al., *Reptile and Amphibian Diversity and Abundance in an Urban Landscape: Impacts of Fragmentation and the Conservation Value of Small Patches*, Ichthyology and Herpetology, 109(2), 424–435 (2021); A.V. Kociolek, et al., *Effects of Road Networks on Bird Populations*, Conservation Biology, 25(2), 241–249 (2011); Hans Slabbekoorn, et al., *Birdsong and anthropogenic noise: Implications and applications for conservation*, Molecular Ecology, 17, 72–83 (2008).

movement and dispersal can affect species' ability to find food, shelter, mates, and refugia after disturbances like fires or floods. Individuals can die off, populations can become isolated, sensitive species can become locally extinct, and important ecological processes like plant pollination and nutrient cycling can be lost. Negative edge effects from human activity, such as traffic, lighting, noise, and pollutants have been found to be biologically significant up to 300 meters (~1000 feet) away from anthropogenic features in terrestrial systems.⁵¹

B. The Commission Should Maximize Opportunities For These Facilities To Facilitate Renewable Energy Alternatives.

As noted, on the current trajectory data centers, AI and cryptomining facilities threaten to undermine progress on addressing the climate emergency. However, as we discuss next, we support Opening Comments urging the Commission to consider the opportunities for these facilities to help mitigate their demand on the grid, by promoting load flexibility, renewable energy, and distributed energy resources.

1. These Facilities Can Help Address Load Demand Issues Through Demand Response and Load Flexibility Programs.

We agree with Opening Comments that endorse the proposition in Principle 7 that the Commission should prioritize large loads willing to be curtailable, and discussing how data centers can help address growing demand for load on the grid.⁵² A 2025 study from the Duke University Nicholas Institute for Energy, Environment & Sustainability demonstrates how using data centers as flexible load results in tremendous grid reliability benefits and critically reduces the need for new generation. Remarkably, if data centers could limit their power demands over

⁵¹ Environmental Law Institute, *Conservation thresholds for land use planners* (2003), <https://www.eli.org/sites/default/files/eli-pubs/d13-04.pdf>.

⁵² See, e.g., Comments of Public Interest Orgs. ("PIO Comments"), Nov. 21, 2025, at 26-30.

just a handful of hours each year, the country’s electric grid (across 22 balancing authorities) could accommodate around 100 GW of new load *without* expanding generation.⁵³

Simple shifts in data center operations would not only prevent the construction of new fossil fuel generation, and thus the creation of new greenhouse gas emissions which drive extreme weather and worsen public health, but it would also save money for the millions of residential customers who otherwise would have subsidized the costs for this new generation. Practically, load flexibility through demand response, allows high-energy users like data centers to reduce energy consumption during periods of peak demand by adjusting operations, shifting workloads, and utilizing on-site back-up generation. According to the Nicholas Institute study, if data centers limited load a mere 0.5 percent (less than 44 hours out of the year), the grid could handle 98 GW of new load---enough to power 70 million homes. Increasing curtailment by another half-percent means the grid could handle an additional 28 GW of new load.

As to whether demand response programs could be universal across the data center industry, which we support, the fact that some data centers may require around-the-clock power should not be an impediment, as curtailment can still occur with “work” shifting geographically to other data centers that are available (*i.e.* not participating in a curtailment window).

Moreover, to the extent that engaging in demand response or power curtailment still requires a data center to invest in more back-up generation, utilities and public utilities commissions should require that data centers prioritize on-site battery storage in conjunction with renewable energy, such as solar and wind, as well as investments in energy efficiency measures.

⁵³ Tyler H. Norris, et al., “Rethinking Load Growth: Assessing the Potential for Integration of Large Flexible Loads in US Power Systems,” Nicholas Institute for Energy, Environment, & Sustainability, Duke University, (2025), <https://nicholasinstitute.duke.edu/sites/default/files/publications/rethinking-load-growth.pdf>.

While implementing appropriate load flexibility approaches will require thoughtful coordination across balancing authorities and utilities, maximizing these opportunities is essential to protect the public interest amid the data center boom. Taking all possible steps to minimize the degree to which these facilities strain the grid is critical for the Commission to not saddle customers with higher costs, forcing families to sacrifice paying to keep the lights on or putting food on the table. Furthermore, communities should not have to suffer from worsened air and water quality as utilities invest in more highly polluting fossil fuel generation to meet new data center load, particularly where these harms are easily preventable through load flexibility.

2. FERC Should Encourage Renewable Energy to Power These Facilities.

FERC must also encourage and incentivize the use of renewable energy by data centers to mitigate the industry's massive greenhouse gas emissions. As discussed in the Addendum below, Congress has repeatedly directed FERC to prioritize the nation's transition away from fossil fuel power sources and administer new programs to foster renewable energy development.

Undoubtedly, these directives apply here, considering that experts expect the expanding data center industry to largely rely on natural gas.⁵⁴ By 2030, additional natural gas demand could reach 3 to 6 billion cubic feet of gas per day—equivalent to gas consumption of the entire state of Florida per day.⁵⁵ If this surge in energy use is met with fossil generation, data centers could

⁵⁴ A. Samuelson, *AI is guzzling gas*, Heated (Dec. 19, 2024), https://heated.world/p/ai-is-guzzling-gas?utm_source=post-email-title&publication_id=2473&post_id=153337841&utm_campaign=email-post-title&isFreemail=true&r=2g9jj&triedRedirect=true&utm_medium=email.

⁵⁵ S&P Global, *Data Centers: More Gas Will Be Needed To Feed U.S. Growth* (Oct. 22, 2024), <https://www.spglobal.com/ratings/en/research/articles/241022-data-centers-more-gas-will-be-needed-to-feed-u-s-growth-13290987>.

consume up to 44% of the emissions permitted under the U.S. 2035 climate target;⁵⁶ if powered by renewables, that share would fall to roughly 3%.⁵⁷

Further, FERC must encourage renewable energy use to meet its mandate to ensure grid reliability. Section 219 of the Federal Power Act requires FERC to work towards a more efficient, reliable, and affordable electrical grid for consumers and specifically to “promote reliable and economically efficient transmission and generation of electricity.”⁵⁸ To do so, FERC must focus on the grid’s decarbonization, as climate change poses significant, ongoing threats to grid reliability.⁵⁹ Power outages have doubled over the past 20 years,⁶⁰ largely due to climate change-fueled extreme heat, wildfires, winter storms, hurricanes, and other extreme weather events straining the grid.⁶¹ For example, in 2021, an extreme winter storm event in Texas caused a massive grid failure, which resulted in 4.5 million homes losing power, at least 57 deaths across 25 counties, and over \$195 billion in property damage.⁶² Data center emissions will only

⁵⁶ Center for Biological Diversity, *Data Crunch: How the AI Boom Threatens to Entrench Fossil Fuels and Compromise Climate Goals* (Oct. 2025), https://biologicaldiversity.org/programs/climate_law_institute/pdfs/DataCrunch_report.pdf

⁵⁷ *Id.*

⁵⁸ 16 U.S.C. § 824s(b)(1).

⁵⁹ Mitali Chatterjee, *Avoiding gridlock: The Impact of climate on electric grids* (June 27, 2024), Swiss Re Institute, <https://www.swissre.com/institute/research/topics-and-risk-dialogues/climate-and-natural-catastrophe-risk/impact-of-climate-on-electric-grids.html>.

⁶⁰ Matthew Brown, *Storms batter aging power grid as climate disasters spread* (April 5, 2022), <https://apnews.com/article/wildfires-storms-science-business-health-7a0fb8c998c1d56759989dda62292379>.

⁶¹ U.S. Dep’t of Energy, *Extreme Weather and Climate Vulnerabilities of the Electric Grid: A Summary of Environmental Sensitivity Quantification Methods* (Aug. 16, 2019), <https://www.energy.gov/sites/prod/files/2019/09/f67/Oak%20Ridge%20National%20Laboratory%20EIS%20Response.pdf>.

⁶² University of Texas at Austin, *The Timeline and Events of the February 2021 Texas Electric Grid Blackouts* (July 2021), <https://energy.utexas.edu/sites/default/files/UTAustin%20%282021%29%20EventsFebruary2021TexasBlackout%2020210714.pdf>.

contribute to this issue: By 2030, experts expect the data center industry alone to annually emit about 40% of the United States' annual greenhouse gas emissions,⁶³ fueling further outages.

Co-locating data centers with solar and/or wind would protect and promote grid reliability by expanding data center capacity while avoiding further strain on the grid. Numerous states have reported unprecedented energy demand due to data centers, which the Virginia State Corporation Commission describes as “creating issues and risks for electric utilities and their customers that have not heretofore been encountered.”⁶⁴ In Virginia, for example, data centers consumed 25.59% of the state's total electricity consumed in 2023,⁶⁵ and experts project that new data centers alone will increase demand for power up to 50 percent by 2030.⁶⁶ Similarly, the Electric Reliability Council of Texas predicts it will need to double its power generation in the next decade to support the skyrocketing data center demand in Texas,⁶⁷ and Silicon Valley Power predicts the same.⁶⁸ Having renewable energy onsite provides an opportunity to help meet

⁶³ *Global data center industry to emit 2.5 billion tons of CO2 through 2030, Morgan Stanley says*, Reuters (Sept. 3, 2024), <https://www.reuters.com/markets/carbon/global-data-center-industry-emit-25-billion-tons-co2-through-2030-morgan-stanley-2024-09-03/>.

⁶⁴ Evan Halper, *As data centers for AI strain the power grid, bills rise for everyday customers* (Nov. 1, 2024), https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://www.washingtonpost.com/business/2024/11/01/ai-data-centers-electricity-bills-google-amazon/&ved=2ahUKEwjD6LbNlvuJAXWzLkQIHf6kB_gQFnoECBYQAQ&usg=AOvVaw0wpSClyqqq7AVs4VW_WiQo.

⁶⁵ EPRI, *Powering Intelligence Analyzing Artificial Intelligence and Data Center Energy Consumption* (May 2024), <https://www.epri.com/research/products/000000003002028905>.

⁶⁶ Evan Halper, *As data centers for AI strain the power grid, bills rise for everyday customers* (Nov. 1, 2024), https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://www.washingtonpost.com/business/2024/11/01/ai-data-centers-electricity-bills-google-amazon/&ved=2ahUKEwjD6LbNlvuJAXWzLkQIHf6kB_gQFnoECBYQAQ&usg=AOvVaw0wpSClyqqq7AVs4VW_WiQo.

⁶⁷ Phil Prazan, *Texas thirsty for energy as datacenters, crypto mining, and EVs increase* (May 9, 2024), <https://www.nbcdfw.com/news/politics/lone-star-politics/texas-needs-energy-for-evs-crypto-datamining/3536718/>.

⁶⁸ Sebastian Moss, *Silicon Valley Power says data center load to double by 2035, will need geothermal power and batteries* (Dec. 5, 2023), <https://www.datacenterdynamics.com/en/news/silicon-valley-power-says-data-center-load-to-double-by-2035-will-need-geothermal-power-and-batteries/>.

this rising demand for reliable data center power while mitigating the industry’s greenhouse gas emissions.

Solar and wind colocation with data centers is not a new concept, as multiple companies have begun exploring this arrangement both in the United States and internationally. For example, a data center co-located with Japan Renewable Energy Corporation’s solar farm runs entirely on solar,⁶⁹ and Apple claims that 100% renewable energy powers its data center in Maiden, North Carolina, of which a large percentage comes from onsite solar.⁷⁰ Additionally, Google and partners Intersect Power and TPG Rise Climate recently announced plans to co-locate data centers with high capacity, clean electricity such as solar alongside battery storage in the United States.⁷¹

3. FERC Should Encourage Disclosure of Water and Energy Use and Emissions by Data Centers.

As AI, cryptomining, and conventional data center operations continue to expand, they are placing unprecedented demands on the nation’s energy and water systems, creating both environmental risks and economic burdens for American families. U.S. data centers consumed roughly 176 TWh in 2023—about 4.4% of total U.S. electricity use—and emit millions of metric

⁶⁹ Georgia Butler, *JRE’s 100% onsite solar-powered data center in Japan achieves stable operations* (May 9, 2023), <https://www.datacenterdynamics.com/en/news/jres-100-onsite-solar-powered-data-center-in-japan-achieves-stable-operations/>.

⁷⁰ Press Release, *Apple now globally powered by 100 percent renewable energy* (April 9, 2018), <https://www.apple.com/newsroom/2018/04/apple-now-globally-powered-by-100-percent-renewable-energy/>.

⁷¹ Ethan Howland, *Google, Intersect Power to develop co-located energy parks with \$20B of renewables, storage* (Dec. 11, 2024), <https://www.utilitydive.com/news/google-intersect-power-co-located-energy-park-data-center-ferc/735198/>; see also, e.g. David Mock and John Bush, *DERs Role in a More Reliable, Sustainable, and Resilient Power System*, UNC Energy Center (2024), <https://www.kenan-flagler.unc.edu/wp-content/uploads/2024/10/DER-Paper.pdf>; Wei He, *et al.*, *Optimization analysis of different distributed energy configurations for data centers*, Sustainable Minerals and Technologies 41 (2024), <https://www.sciencedirect.com/science/article/abs/pii/S2214993724001854>.

tons of associated greenhouse gas emissions annually.⁷² Without facility-level disclosure, grid operators, utilities, and regulators cannot reliably forecast demand, plan infrastructure, or allocate costs fairly, potentially shifting costs to other ratepayers and compromising grid reliability.

FERC's public interest mandate under the Federal Power Act provides clear authority to encourage or require transparency from data centers, ensuring that rates and service for transmission and interconnection are "just and reasonable and not unduly discriminatory or preferential."⁷³ Rapidly growing data center loads, without transparent electricity, water, and emissions data threaten ratepayer protections and environmental oversight. Standardized reporting of consumption and emissions would safeguard ratepayers, support grid planning, and allow regulators and communities to assess environmental, climate, and economic impacts, ensuring greater accountability from this sector. Specifically, FERC should require data centers and utilities to disclose information on monthly and annual basis including:

- Electricity consumption: total usage, peak load and load profiles;
- Energy sources and emissions: fuel mix (renewable, fossil, nuclear or other), Scope 1 and 2 greenhouse gas emissions;
- Water consumption: total use, source (municipal, groundwater, or recycled), and facility activities driving water use;
- Economic impacts: job creation, effects on local electricity rates, and any subsidies or incentives received; and

⁷² U.S. Dep't of Energy, Federal Energy Management Program, *Data Center Energy Efficiency* Fact Sheet (July 2025), <https://www.energy.gov/sites/default/files/2025-08/femp-data-centers-fact-sheet-2025.pdf>.

⁷³ 16 U.S.C. § 824d.

- Grid impacts: planned expansions or increases in energy demand, and participation in demand response programs.

Mandating these disclosures will strengthen oversight and help ensure that the industry develops in a more environmentally sustainable manner that maximizes protecting public health and maintaining affordability for all ratepayers.

II. Center Comments On Other Specific Issues Raised in the ANOPR, Commission Notice, and Initial Comments.

The Center urges the Commission to take the foregoing discussion into account in resolving the issues raised in this proceeding. With regard to the more specific issues that have already been raised by the Commission, DOE or intervenors, the Center offers the following comments.

A. Any Regulation Must Protect Ratepayers by Preventing Private Corporations from Shifting Facility or Stranded-Asset Costs to Ratepayers.

The Center supports Opening Comments that urge the Commission to adopt regulations that give full effect to Principle 8 of the ANOPR, which provides that “load and [co-located loads] should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies.”⁷⁴ As large-load interconnections both cause and exclusively benefit from these upgrades, they must be held fully responsible for the associated costs. To protect residential and small-business consumers—particularly amid this ongoing electricity-affordability crisis—the Commission should adopt clear rules preventing any cost-shifting of network upgrades or stranded assets attributable to large-load customers.

⁷⁴ U.S. Dep’t of Energy, Ensuring the Timely and Orderly Interconnection of Large Loads 11, (Oct. 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>; PIO Comments at 30-35.

Residential customers across the country are facing increasingly unaffordable utility bills. Nationwide, bills are up 11% since January, with 14 million Americans behind on payments.⁷⁵ Utility shutoffs for nonpayment are rising sharply—a worrisome trend as much of the nation depends on energy-intensive heating heading into winter.⁷⁶ In Pennsylvania alone, power shutoffs have risen 21% this year, affecting over 270,000 households.⁷⁷ The combination of rising energy costs and worsening wealth inequality contributes to persistently high energy burdens, forcing millions of families into energy poverty.⁷⁸ Access to electricity is essential yet out of reach for far too many people.

The energy affordability crisis is worsening, especially now as utilities raise rates to pay for expensive large generation assets, like gas plants, and keep un-economic coal plants online longer, to power high-energy consuming data centers. Just recently Kentucky Utilities and Louisville Gas and Electric announced a proposed \$3.7 billion investment to build 1.3 GW of new fossil gas generation and 400 MW of battery storage, to power data centers.⁷⁹ In the Southeast, Duke Energy plans to build 9 GW of new fossil gas to accommodate a forecasted 12 percent increase in demand by 2038.⁸⁰ This rate of growth is unsustainable, yet utilities are

⁷⁵ Renae Merle, *Power Shutoffs Surge as Electric Bills Soar, Creating Financial Strain for Millions of U.S. Households*, WASH. POST (Nov. 24, 2025), <https://www.washingtonpost.com/business/2025/11/24/power-shutoffs-surge-electric-bills/>.

⁷⁶ Abha Bhattarai, “More Americans are getting their power shut off, as unpaid bills pile up,” *The Washington Post*, (November 24, 2025), <https://www.washingtonpost.com/business/2025/11/24/power-shutoffs-surge-electric-bills/>.

⁷⁷ *Id.*

⁷⁸ Selah Goodson Bell and Jean Su, “Powerless in the United States: How Corporate Utilities Drive Energy Unaffordability and Climate Chaos,” Center for Biological Diversity, (January 2025), https://www.biologicaldiversity.org/programs/energy-justice/pdfs/Powerless_Report_2025.pdf?_gl=1*15hp645*_gcl_au*MTgwNTU2NTc5NC4xNzM5NTU2NzI2.

⁷⁹ Ethan Howland, “PPL’s Kentucky utilities propose 1.3 GW of gas, 400 MW of storage to meet data center load,” (March 3, 2025), <https://www.utilitydive.com/news/ppl-kentucky-psc-ku-gas-storage-data-center/741351/>.

⁸⁰ Jeff St. John, “More demand, more gas: Inside the Southeast’s dirty power push,” *Canary Media*, (April 11, 2024), <https://www.canarymedia.com/articles/utilities/more-demand-more-gas-inside-the-southeasts-dirty-power-push>.

actively pursuing data centers because it benefits their bottom line, even if it comes at the expense of residential customers.

Utilities have an incentive to attract high energy-using customers like data centers because they turn a profit from building high-cost capital projects. The bigger the project, the higher return on investment. Data centers' power needs are extraordinary—one large data center could use as much as 100 MW of power.⁸¹ And it is estimated that overall energy consumption by data centers could reach 35 GW by 2030.⁸² By attracting data centers, utilities have a reason to invest in expensive fossil gas plants, risky nuclear projects, and large-scale transmission that they inevitably profit from. And while they reap millions from these investments, residential customers risk footing the bill for the lion's share of costs to build a grid capable of withstanding a projected 12 percent increase in load by 2030.⁸³

The current utility rate structure is in large part to blame for this cost-shift, saddling residential customers—especially those who can least afford to pay—with the costs of infrastructure improvements, from new transmission lines and substations to fossil gas plants that pump alarming rates of planet-warming emissions into the atmosphere.

According to a recent report from Harvard Law School's Environmental and Energy Law Program, utilities are getting away with socializing the costs of the data center boom, and simultaneously keeping rates low to attract data centers, by: (1) entering into special contracts;

⁸¹ Data Center Knowledge, "Data Center Power: Fueling the Digital Revolution," (March 22, 2024), <https://www.datacenterknowledge.com/energy-power-supply/data-center-power-fueling-the-digital-revolution>.

⁸² Matthew Gooding, "Newmark: US data center power consumption to double by 2030," Data Center Dynamics, (January 15, 2024), <https://www.datacenterdynamics.com/en/news/us-data-center-power-consumption/>.

⁸³ Department of Energy, "DOE Releases New Report Evaluating Increase in Electricity Demand from Data Centers," (December 20, 2024), <https://www.energy.gov/articles/doe-releases-new-report-evaluating-increase-electricity-demand-data-centers>.

(2) taking advantage of discrepancies between federal and state regulations over cost allocation; and (3) relying on co-location agreements. Through all these avenues, utilities are effectively putting the financial burden of accommodating data center load onto the shoulders of working families.⁸⁴

In sum, the rising electricity demands of data centers drive expensive network upgrades, but these costs are increasingly passed on to energy-insecure households. Utilities, seeking returns on major capital projects, attract high-load customers and expand infrastructure while leveraging regulatory gaps and special contracts to socialize costs. Because data centers both cause and benefit from these upgrades, the Commission must rigorously enforce Principle 8. This includes conducting transparent load interconnection studies and requiring large-load customers to cover 100% of their network upgrade costs, while also strengthening the principle to ensure ratepayers are protected from any stranded-asset costs.

1. There Should Also Be Restrictions On Special Contracts Allowing Utilities to Take Advantage of Opaque Accounting Practices to Pass on the Costs of Supplying Power to High-energy Using Customers.

Under current regulatory regimes, utilities can use special contracts to offer data centers discounts while shoring up any shortfalls in costs related to building new power infrastructure through raising rates for its other customers.⁸⁵ Because Public Utilities Commission (“PUC”) orders approving these contracts lack vital third-party analysis and robust public participation, utilities can easily claim that they are isolating data center energy costs from other ratepayers with little oversight to ensure that is indeed the case.

⁸⁴ Eliza Martin and Ari Peskoe, “Extracting Profits from the Public: How Utility Ratepayers Are paying for Big Tech’s Power,” Environmental & Energy Law Program, Harvard Law School, (March 2025), <https://eelp.law.harvard.edu/extracting-profits-from-the-public-how-utility-ratepayers-are-paying-for-big-techs-power/?ref=floodlightnews.org>.

⁸⁵ *Id.*

For instance, Duke Energy was shifting costs of a special contract which would have provided a \$325 million discount to a new power plant developer onto its other ratepayers.⁸⁶ While this effort by Duke Energy was properly resolved, the Commission should help ensure these special contracts are not approved by state regulators at the expense of ratepayers who will face higher costs.

2. Appropriate Oversight Of Cost Allocation Formulas Is Necessary To Protect Against Ratepayers Being Improperly Charged For Infrastructure Costs to Support These Facilities.

To serve the power needs of data centers, RTOs are also working to build new transmission with costs trickling their way down to residential ratepayers due to a mismatch between federal and state cost allocation practices. RTOs pass transmission costs onto their member utilities “in proportion to the power system benefits each utility receives, such as lower market prices and improved reliability.”⁸⁷ This model also relies on the premise that these investments in new transmission are broadly beneficial. State PUCs then apply their own model for how those higher costs are then split across their ratepayer classes (residential, commercial, and industrial). This mismatch in how costs are distributed at the federal and state level ends up “socializing the costs of reliable power delivery [and] now forcing the public to pay for infrastructure designed to supply a handful of exceedingly wealthy corporations.”⁸⁸

PJM’s transmission buildout to accommodate Virginia’s data center growth shows how this cost-shift plays out and unfairly burdens residential customers. PJM spent \$5.1 billion on

⁸⁶ *Duke Energy Carolinas, LLC v. NTE Carolinas II, LLC*, 111 F.4th 347 (4th Cir. 2024).

⁸⁷ Eliza Martin and Ari Peskoe, “Extracting Profits from the Public: How Utility Ratepayers Are paying for Big Tech’s Power,” Environmental & Energy Law Program, Harvard Law School, (March 2025), <https://eelp.law.harvard.edu/extracting-profits-from-the-public-how-utility-ratepayers-are-paying-for-big-techs-power/?ref=floodlightnews.org>.

⁸⁸ *Id.*

new transmission, and half of those costs were distributed to member utilities based on their share of power demand.⁸⁹ Since Virginia's data center boom was primarily driving the load growth that precipitated the need for more transmission, Virginia utilities ended up paying the remaining half. However, because each state PUC then divvies up transmission costs differently across ratepayer classes, in Maryland for example, residential ratepayers will then pay for two-thirds of the state's overall share in transmission costs, even though PJM is building this new transmission for Virginia data centers and not the average Maryland residential ratepayer.⁹⁰

Furthermore, while RTOs and utilities make all these investments in new power infrastructure on the premise that there will be significant load growth, should that demand fail to materialize, *ratepayers will be left to cover the costs of stranded assets.*

3. The Commission Must Also Help Insure That Co-location Arrangements Do Not Increase Wholesale Prices And Distort Electricity Delivery Rates.

Data center owners are looking for opportunities to secure power as quickly as possible, and power plants have jumped at the opportunity to offer co-location agreements whereby a data center can directly connect to an existing power plant, behind the meter. The data center therefore does not have to rely on power delivered through the utility's transmission network, cutting the utility out of profits they eagerly seek.

⁸⁹ PJM, "PJM Board of Managers Approves Critical Grid Upgrades," PJM Inside Lines, (December 11, 2023), <https://insidelines.pjm.com/pjm-board-of-managers-approves-critical-grid-upgrades/>.

⁹⁰ Maryland People's Counsel Protest, Affidavit of Ron Nelson, available at: [https://opc.maryland.gov/Portals/0/Files/Publications/Others/MdOPC%20Protest%20and%20Affidavit%20of%20R.%20Nelson%20ER24-843%2002-09-24%20\(1\).pdf](https://opc.maryland.gov/Portals/0/Files/Publications/Others/MdOPC%20Protest%20and%20Affidavit%20of%20R.%20Nelson%20ER24-843%2002-09-24%20(1).pdf).

Data centers can leverage co-location arrangements to argue that they should be exempt from paying any fees to the utility for delivering power. Constellation Energy leaned into this model to get out of paying federal and state-regulated delivery charges.⁹¹

As for ratepayers, co-location has the consequence of precluding them from receiving lower delivery rates that they might otherwise have paid when a new energy-intensive customer becomes a utility ratepayer and pays its share of the utility's cost of service. In the end, residential ratepayers could end up paying higher costs as those costs are no longer distributed across a greater number of customers.

The data center boom is a big gamble. Contracts may fall through, and other less-energy intensive processing models for AI could become more mainstream. Moreover, load growth projections are still uncertain.⁹² Therefore, utilities' quick moves to accommodate projected load growth comes with real consequences for residential customers who will shoulder the overwhelming costs of the nearly 20 GW of gas and transmission infrastructure utilities are building that may not ultimately be needed.⁹³ The Commission has an obligation to protect consumers from these risks.

B. Regulatory Reforms Should Apply to Loads Starting at 20 MW (or Lower) to Reflect Variability in Data Center and Cryptomining Demand.

⁹¹ Martin and Peskoe, "Extracting Profits from the Public: How Utility Ratepayers Are paying for Big Tech's Power"; *see also* PJM Interconnection, LLC, FERC Docket No. ER24-2172 [hereinafter *Susquehanna Nuclear Interconnection Agreement*], Protest of Exelon Corporation & American Electric Power Service Corporation, Declaration of John J. Reed & Danielle S. Powers, at 4 (Jun. 24, 2024).

⁹² Jeff St. John, "Utilities are flying blind on data center demand. That's a big problem." Canary Media, (February 25, 2025), <https://www.canarymedia.com/articles/utilities/utilities-are-flying-blind-on-data-center-demand-thats-a-big-problem>.

⁹³ Quentin Good, et al., "Big data centers, big problems: The surging environmental and consumer costs of AI, crypto and big data," Environment America, (January 23, 2025), <https://environmentamerica.org/center/resources/big-data-centers-big-problems/>.

The Center generally supports DOE’s second Principle, which recommends that any regulatory reforms apply to “new loads greater than 20 MW,” although even a lower threshold might be appropriate. Several stakeholders, including the Indicated PJM Transmission Owners (“PJM”) and the Edison Electric Institute (“EEI”), have advocated for substantially higher thresholds. EEI has suggested a minimum of 100 MW,⁹⁴ while PJM has proposed a threshold as high as 200 MW.⁹⁵ These proposals are inconsistent with established precedent and risk undermining the intent of the reforms.

First, DOE’s recommended threshold aligns with Commission precedent. In Order No. 2003, the Commission defined large generation resources as those exceeding 20 MW.⁹⁶ Raising the threshold would be a departure from this established benchmark, creating unnecessary regulatory uncertainty and disrupting the consistency of Commission policy.

Second, large electricity consumers, including data centers, exhibit highly variable load profiles. While some facilities can exceed 100 MW, and in exceptional cases reach over a gigawatt, such as the Lancium data center under construction in Abilene, Texas, many operate at substantially lower levels.⁹⁷ Further, cryptomining facilities, which have operational characteristics and grid impacts similar to data centers, frequently operate well below 100 MW. Setting a 100 MW threshold would therefore exclude a significant number of new electricity-intensive facilities seeking to connect to the grid.

⁹⁴ Edison Electric Institute, Comments, Docket No. RM26-4-000, at 3 (Filed Nov. 21, 2025).

⁹⁵ Indicated PJM Transmission Owners, Comments, Docket No. RM26-4-000, at 2 (Filed Nov. 21, 2025).

⁹⁶ FERC, *Order No. 2003, Standardization of Generator Interconnection Agreements and Procedures*, 68 Fed. Reg. 49845, 49845–49972 (Aug. 19, 2003), FERC Stats. & Regs. ¶ 31,146, at ¶ 52 (defining “Small Generator” and “Large Generator”).

⁹⁷ Lancium, *Crusoe Expands AI Data Center Campus in Abilene to 1.2 Gigawatts* (Mar. 18, 2025), <https://lancium.com/2025/03/18/crusoe-expands-ai-data-center-campus-in-abilene-to-1-2-gigawatts/>.

Adopting the DOE’s recommended 20 MW threshold, or something even lower, ensures that the reforms encompass a broader and more representative range of new loads, enhancing grid reliability, promoting equitable oversight, and mitigating potential impacts from emerging high-demand technologies.

C. The Commission Should Engage in Tribal Consultation Before Fast-Tracking Large-Load Interconnection.

The Center concurs with Opening Comments discussing how the Commission must engage in meaningful consultation with federally recognized Tribes in considering reforms to expedite interconnection for large loads.⁹⁸ Such consultation is not merely a policy preference but a requirement: Executive Order 13175 directs federal agencies to engage Tribes whenever proposed regulations have tribal implications. The Commission must therefore consult Tribes before fast-tracking data center or other large-load interconnections to uphold tribal sovereignty, address environmental justice concerns, and mitigate legal and operational risks.

Tribal communities are among the most energy-vulnerable populations in the United States, with households facing energy burdens roughly 28% above the national average and an estimated 17,000 homes without electricity, affecting at least 54,000 people.⁹⁹ Large energy-intensive facilities like data centers and cryptomines can strain grid infrastructure, require new transmission lines, and increase fossil-fuel generation, creating disproportionate environmental and public health impacts on tribal lands. Embedding tribal consultation into interconnection reforms ensures respect for Tribal sovereignty, advances environmental justice, and equitably distributes the benefits and burdens of grid expansion.

⁹⁸ *E.g.*, Comments of the Confederated Tribes and Bands of the Yakama Nation (Nov. 21, 2025).

⁹⁹ U.S. Dep’t of Energy, *Tribal Energy Access*, ENERGY.GOV (Nov. 18, 2025), <https://www.energy.gov/topics/tribal-energy-access>.

D. The Rulemaking Process Should Be Deliberate, Not Rushed.

Finally, it is imperative that the Commission prioritize thoughtful deliberation over meeting the DOE-requested deadline of April 30, 2026 for finalizing reforms to expedite large-load interconnection.¹⁰⁰ These rules will affect a wide-range of stakeholders—including utilities, ratepayers, Tribal nations, and environmental justice communities. The important social, economic, technical and public health implications of these regulations require careful consideration. Rushing the rulemaking process risks incomplete or poorly reasoned rules and can undermine public confidence. Moreover, perceived conflicts of interest or undue influence, even if false, threaten stakeholder trust and the legitimacy of the Commission’s actions. Allowing sufficient time for notice, comment, and consultation is vital to ensuring meaningful participation, transparency, and fairness, and to developing enduring regulations that serve the public interest and satisfy the Commission’s statutory mandates.

* * *

Thank you for the opportunity to be heard on these important issues.

Respectfully submitted,

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¹⁰⁰ U.S. Dep’t of Energy, Ensuring the Timely and Orderly Interconnection of Large Loads 2, (Oct. 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

ADDENDUM
**The Climate Emergency, and FERC's
Responsibility To Act On This Pressing Issue**

In order to properly address the issues raised in this proceeding, it is vital for the Commission to acknowledge the climate emergency and the agency's statutory mandate to play a vital leadership role in addressing this issue. This Addendum addresses these matters.

A. The Climate Crisis is an Emergency Requiring Urgent Action to Reduce Greenhouse Gases from the Power Sector.

The scientific community is unequivocal in its assessment that human activity is the primary driver of climate change, and that without decisive, coordinated efforts to reduce greenhouse gas emissions, its impacts will continue to cause extensive and far-reaching harm across the globe. As the most recent Assessment Report from the Intergovernmental Panel on Climate Change (IPCC) makes clear, fossil-fuel driven climate change is a “code red for humanity,” and every additional ton of CO₂ and fraction of a degree of temperature rise matters.¹⁰¹

With the 1.5°C target set by the Paris Climate Agreement rapidly slipping out of reach, the potential trajectories of the nation's climate future are becoming ever more concrete—and increasingly alarming. Extreme heat events will become significantly more frequent and severe, straining energy systems, threatening public health, and disproportionately impacting vulnerable communities and species.¹⁰² Sea-level rise and intensified coastal storms will endanger critical

¹⁰¹ United Nations Secretary-General, *Secretary-General's statement on the IPCC Working Group I Report on the Physical Science Basis of the Sixth Assessment*, (Aug. 9, 2021), <https://www.un.org/sg/en/content/secretary-generals-statement-the-ipcc-working-group-1-report-the-physical-science-basis-of-the-sixth-assessment>.

¹⁰² Wagner, A., *Climate-driven extreme heat may make parts of Earth too hot for humans*. Penn State University (Oct. 9, 2023), <https://www.psu.edu/news/health-and-human-development/story/climate-driven-extreme-heat-may-make-parts-earth-too-hot-humans>.

habitats and infrastructure and displace populations in low-lying regions.¹⁰³ America's agriculture will experience heightened stress due to drought, shifting growing seasons, and increased pest and disease pressures, while water resources in the West will become increasingly scarce. These changes will amplify existing social and economic inequalities, endanger the country's biodiversity, drive up disaster response and recovery costs, and test the resilience of institutions and governance structures at every level.

The reality of climate disasters in the United States is no longer an abstraction. The last few years alone have crystallized what the climate emergency looks and feels like in the United States: unparalleled heat domes in the West,¹⁰⁴ record-setting wildfires in Oregon¹⁰⁵ and Wyoming,¹⁰⁶ record low temperatures that led to the Texas energy crisis and outages,¹⁰⁷ and fatal hurricanes Helene, Milton and Beryl that swept the southeast causing a combined 300 deaths.¹⁰⁸ A 2021 study of the health costs in the U.S. of air pollution from fossil fuel combustion and

¹⁰³ Imdieke, A., *Melting ice and rising sea levels: Why 2 degrees Celsius is too high*. Columbia Climate School (. (June 12, 2023), <https://news.climate.columbia.edu/2023/06/12/melting-ice-and-rising-sea-levels-why-2-degrees-celsius-is-too-high/>.

¹⁰⁴ Tyler Clifford, *Record temperatures scorch US West as Americans sweat through extreme heat*, Reuters (July 8, 2024), <https://www.reuters.com/world/us/record-temperatures-scorch-us-west-americans-sweat-through-extreme-heat-2024-07-07/>.

¹⁰⁵ Joni Auden Land, *Record Oregon wildfire season keeps NWS meteorologists extremely busy*, Oregon Public Broadcasting, (Sept. 14, 2024), <https://www.opb.org/article/2024/09/14/record-wildfires-oregon-keep-northwest-meteorologists-busy-summer-forecasting/>.

¹⁰⁶ Mike Koshmrl, *Wyoming's 'massive' 2024 wildfire season second only to infamous '88*, WyoFile (Nov. 4, 2024), <https://wyofile.com/wyomings-massive-2024-wildfire-season-second-only-to-infamous-88/>.

¹⁰⁷ Michael E. Webber, *The Texas Power Crisis Didn't Have to Happen*, ASME (June 15, 2021), <https://www.asme.org/topics-resources/content/the-texas-power-crisis-didn-t-have-to-happen>; Peter Cramton, *Lessons From the 2021 Texas Electricity Crisis*, Utility Dive (Mar. 23, 2021), <https://www.utilitydive.com/news/lessons-from-the-2021-texas-electricity-crisis/596998/>.

¹⁰⁸ Adam B. Smith, *2024: An active year of U.S. billion-dollar weather and climate disasters*, Climate.gov, (Jan. 10, 2025), <https://www.climate.gov/news-features/blogs/beyond-data/2024-active-year-us-billion-dollar-weather-and-climate-disasters>.

resulting climate change estimated the costs already exceed \$800 billion per year and are expected to become even more expensive without rapid action to curb fossil fuel pollution.¹⁰⁹

Climate change poses particularly severe threats to environmental justice communities, who are on the front lines of the climate emergency, and disproportionately bear the burden of utilities’ and other corporations’ failure to sufficiently account for and address climate change-related risks.¹¹⁰ It also poses additional risks to other communities, including children, older adults, immigrant groups, and persons with disabilities and pre-existing medical conditions.¹¹¹ The IPCC Sixth Assessment makes clear that there is “a rapidly closing window of opportunity to secure a livable and sustainable future for all” and taking action *now* to reduce the country’s greenhouse gas emissions is the only pathway forward.¹¹² The IPCC Sixth Assessment also finds—with high confidence—that continued greenhouse gas emissions at current levels will

¹⁰⁹ Medical Society Consortium on Climate and Health, *The Costs of Inaction: The Economic Burden of Fossil Fuels and Climate Change on Health in the United States* (2021), <https://medsocietiesforclimatehealth.org/wp-content/uploads/2021/05/CostofInactionReport-May2021.pdf> at 5.

¹¹⁰ E.g. Carina J. Gronlund, *Racial and Socioeconomic Disparities in Heat-Related Health Effects and Their Mechanisms: a review*, *Curr. Epidemiol. Rep.* 1 (3): 165-173 (2014) at <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC4264980/>; R. Dean Hardy, Richard A. Milligan, and Nik Heynen, *Injustice of Colorblind Adaptation Planning for Sea-Level Rise*, *Geoforum*, 87: 62-72 (2017) at (<https://www.sciencedirect.com/science/article/pii/S0016718517302944>); NAACP, *Environmental and Climate Justice*, at <https://www.naacp.org/issues/environmental-justice/>. We use the term “environmental justice communities” in accordance with the definition provided by the White House Environmental Justice Advisory Council (“WHEJAC”), which defines the term as “a geographic location with significant representation of persons of color, low-income persons, indigenous persons, or members of Tribal nations, where such persons experience, or are at risk of experiencing, higher or more adverse human health or environmental outcomes.” White House Env’tal Justice Advisory Council, 79 (May 21, 2021), *WHEJAC Final Report Executive Order 14008*, <https://www.epa.gov/sites/production/files/2021-05/documents/whiteh2.pdf>.

¹¹¹ NCA4, Vol. II, at 540, 548; U.S. Global Change Research Program, *The Impacts of Climate Change on Human Health in the United States: A Scientific Assessment* (2016); see also Nick Watts, et al., *Health and Climate Change: Policy Responses to Protect Public Health*, 386 *The Lancet* 1861 (2015) at 1861.

¹¹² IPCC, 2023: Sections. In: *Climate Change 2023: Synthesis Report. Contribution of Working Groups I, II and III to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change* [Core Writing Team, H. Lee and J. Romero (eds.)]. IPCC, Geneva, Switzerland, p. 88.

lock in highly damaging and irreversible changes to the climate for hundreds to thousands of years.¹¹³

The global average atmospheric carbon dioxide in 2024 was 424.61 parts per million (ppm), a level not seen for millions of years.¹¹⁴ The last time CO₂ in the Earth's atmosphere was at 400 ppm, global mean surface temperatures were 2 to 3°C warmer and the Greenland and West Antarctic ice sheets melted, leading to sea levels that were 10 to 20 meters higher than today.¹¹⁵ Global carbon emissions over the past 15 to 20 years have tracked the highest emission scenario used in IPCC climate projections, the RCP8.5 scenario,¹¹⁶ which is projected to lead to devastating impacts.¹¹⁷

In light of the climate emergency, the IPCC has emphasized the urgent need for “rapid and far-reaching transitions” across all sectors *including electricity generation*.¹¹⁸ Indeed, a critical feature of 1.5°C-consistent pathways is that the power sector must be significantly clean by 2030 and achieve “virtually full decarbonisation” by around mid-century.¹¹⁹

The U.S. is the world's largest historic emitter of GHG pollution and is the world's second highest emitter on an annual and per capita basis.¹²⁰ Scientific studies have estimated the

¹¹³ *Id.* at 69.

¹¹⁴ Statista, *Average monthly carbon dioxide (CO₂) levels in the atmosphere worldwide from 1990 to 2025* (Mar. 25, 2025), <https://www.statista.com/statistics/1091999/atmospheric-concentration-of-co2-historic/>.

¹¹⁵ Corinne Le Quéré, *et al.*, *Global Carbon Budget 2018*, 10 *Earth Syst. Sci. Data* 2141 (2018); World Meteorological Organization, *WMO Greenhouse Gas Bulletin*, No. 13, Oct. 30, 2017 at 5.

¹¹⁶ NCA4, Vol. I at 31, 133-34, and 152 (“The observed increase in global carbon emissions over the past 15–20 years has been consistent with higher scenarios (such as RCP8.5) (*very high confidence*)”).

¹¹⁷ IPCC, *Climate Change 2014: Synthesis Report. Contribution of Working Groups I, II and III to the Fifth Assessment Report of the IPCC* (2014) at Figure 2.1.

¹¹⁸ *Id.* at 15.

¹¹⁹ IPCC Special Report, at 112.

¹²⁰ Corinne LeQuéré, Corinne *et al.*, *Global Carbon Budget 2018*, 10 *Earth Sys. Sci. Data* 2141, 2161 fig. 5 (2018); Global Carbon Project, *Global Carbon Budget 2018*, 19 (Dec. 5, 2018),

remaining U.S. carbon budget consistent with the 1.5°C Paris Agreement target is approximately 25 gigatons (Gt) CO₂ equivalent (CO₂eq) to 57 GtCO₂eq on average,¹²¹ depending on the equity principles used to apportion the global budget across countries.¹²² As the U.S. emits around 6 GtCO₂eq each year, the remaining U.S. carbon budget compatible with the Paris Agreement’s climate targets is extremely small and is rapidly being expended, highlighting the urgent need for the U.S. to transition from fossil fuels to renewable energy. Yet rising demand from U.S. data centers is accelerating the problem. Their electricity consumption is projected to grow so sharply that industry-wide carbon pollution—largely driven by fracked gas and coal—could triple by 2035, consuming up to 44 percent of the power-sector emissions allowable under U.S. climate targets.¹²³ By that same year, data centers are expected to use nearly 570 TWh of electricity, with about 240 TWh coming directly from fossil gas, jeopardizing the nation’s ability to meet its climate commitments.¹²⁴

https://www.globalcarbonproject.org/carbonbudget/archive/2018/GCP_CarbonBudget_2018.pdf (Historical cumulative fossil CO₂ emissions by country).

¹²¹ Yann Robiou du Pont, *et al.*, *Equitable Mitigation to Achieve the Paris Agreement Goals*, 7 *Nature Climate Change* 38 (2017), and Supplemental Tables 1 and 2. Quantities measured in GtCO₂eq include the mass emissions from CO₂ as well as the other well-mixed GHGs (CO₂, methane, nitrous oxide, hydrofluorocarbons, perfluorocarbons and SF₆) converted into CO₂-equivalent values, while quantities measured in GtCO₂ refer to mass emissions of just CO₂ itself.

¹²² Robiou du Pont, *et al.* (2017) averaged across IPCC sharing principles to estimate the U.S. carbon budget from 2010 to 2100 for a 50 percent chance of returning global average temperature rise to 1.5°C by 2100, based on a cost-optimal model. The study estimated the U.S. carbon budget consistent with a 1.5°C target at 25 GtCO₂eq by averaging across four equity principles: capability (83 GtCO₂eq), equal per capita (118 GtCO₂eq), greenhouse development rights (-69 GtCO₂eq), and equal cumulative per capita (-32 GtCO₂eq). The study estimated the U.S. budget at 57 GtCO₂eq when averaging across five sharing principles, adding the constant emissions ratio (186 GtCO₂eq) to the four above-mentioned principles. However, the constant emissions ratio, which maintains current emissions ratios, is not considered to be an equitable sharing principle because it is a grandfathering approach that “privileges today’s high-emitting countries when allocating future emission entitlements.”

¹²³ Center for Biological Diversity, *Data Crunch: How the AI Boom Threatens to Entrench Fossil Fuels and Compromise Climate Goals* (Oct. 2025), https://biologicaldiversity.org/programs/climate_law_institute/pdfs/DataCrunch_report.pdf

¹²⁴ *Id.*

In 2022, the electricity sector accounted for 33 percent of the United States’s total energy-related CO2 emissions, with 53 percent of emissions from coal, 44 percent from gas, and 2 percent from petroleum.¹²⁵ The power sector therefore has a *unique responsibility to decarbonize all operations and shift away from the fossil fuel energy harming marginalized and vulnerable communities, as well as species.*

B. The Commission has a Mandate to Facilitate the Nation’s Clean Energy Transition.

Congress has directed that FERC make the nation’s transition away from fossil fuel power sources a high priority. In the Energy Act of 2020 Congress set forth a national goal “*to reduce emissions and meet 100 percent of the power demand in the United States through clean, renewable, or zero emission energy sources . . .*.”¹²⁶ Given FERC’s vital role in overseeing the nation’s power sector, this provision demonstrates a Congressional expectation for FERC to incorporate decarbonization into all its decision-making.

This is not a new Congressional priority. More than forty years ago, Congress passed the Public Utility Regulatory Policies Act (PURPA), directing FERC to reduce the nation’s reliance on fossil fuels, and charging the agency with administering new programs to foster the development of renewable energy resources.¹²⁷ Thus, as the Supreme Court has explained, in considering the use of the term “public interest,” FERC is called upon to consider the objective to “*reduce reliance on fossil fuels,*” based on the fundamental premise that the country benefits

¹²⁵ *How much of U.S. carbon dioxide emissions are associated with electricity generation?* U.S. EIA, (Nov. 30, 2023), <https://www.eia.gov/tools/faqs/faq.php?id=77&t=11>.

¹²⁶ Pub. L. No. 116-260, Division Z, § 11003 (2020) (emphasis added).

¹²⁷ Public Utility Regulatory Policies Act, Pub. L. No. 95-617, 92 Stat. 3117 (1978).

from renewable energy development and the “*resulting decrease in the Nation’s dependence on fossil fuels.*”¹²⁸

Making decarbonization, as well as larger questions of energy justice, a central priority at FERC is also entirely consistent with the remainder of FERC’s statutory mandates. As former Chairman Glick has explained, the agency is charged with making decisions that comport with the public interest, and “it is hard to imagine a consideration more relevant to the ‘public interest’ than the existential threat posed by climate change.”¹²⁹ Moreover, as noted, in one of the few cases to address the definition of “public interest” on a federal level, the U.S. Supreme Court noted the agency’s broad authority to pursue appropriate public interest objectives, including environmental and conservation objectives.¹³⁰

Accordingly, we urge FERC to affirmatively prioritize the goal of rapid decarbonization into all facets of the transmission planning process.

¹²⁸ *American Paper Inst. v. Am. Elec. Power Serv. Corp.*, 461 U.S. 402, 417-418 (1983) (emphasis added).

¹²⁹ Rich Glick and Matthew Christiansen, *FERC and Climate Change*, 40 Energy L. J. 1, 6 (2019).

¹³⁰ *National Association for the Advancement of Colored People v. Federal Power Commission*, 425 U.S. 662 (1976).